

were small. But you figure you can afford it now. You drive the kids to the movies in a new car, maintain a motor home for vacations, buy uniforms for school, put color TVs in each bedroom, and stuff the freezer with prepared foods.

When you retire, you reduce your infrastructure. You move to a simple house in Kentucky. You make do with a modest station car or no car at all. As we saw in chapter 8, your health-care costs go up in retirement because you pay your own medical insurance. With kids, those insurance costs go even higher. But the rest of your living costs drop. Even after paying for health care, the allocated cost of raising kids should be less than \$5,000.

I assume \$4,000 per child per year, rather than \$5,000, to reflect the lower costs of a more modest infrastructure. If you have a 10-year-old and figure on supporting him or her to age 22, you have twelve years to go. Set aside twelve years times \$4,000 a year, or \$48,000, in addition to your own \$400,000 or \$500,000 nest egg. If you have both a 14- and a 16-year-old and figure on supporting them to age 18, you have to plan for four plus two, or six child-years. At \$4,000 a year, you need to set aside six years times \$4,000, or \$24,000.

I ignore interest in figuring what you need for kids. In the first case above, for example, when you retire you set aside \$48,000 for your child. But since you'll spend that money over twelve years, you'll earn interest along the way. Part of that interest protects your money against inflation. The rest of the interest is a cushion.

As a practical matter, when you retire I suggest you set up a separate, one-year CD for child rearing. In the second example above, you'll support a 14- and a 16-year-old to age 18. When you retire, put \$24,000 into their CD. At the beginning of the year, take \$4,000 per child out of the CD and put it in the account you use for day-to-day living expenses. At the beginning of the second year, take out \$4,000 per child plus one year of inflation. For the third year, take out the prior year's amount plus the intervening inflation.